Neuland Laboratories Ltd

Concall Tracker · Q1-2027 update · Prepared 6 Nov 2026 · Ticker: NEULANDLAB · Builds on the Q4-2026 report

1. Snapshot

What the business does: Neuland makes **active pharmaceutical ingredients (APIs)**, the actual chemical inside a medicine, and sells them to drug companies. It has two halves. **GDS (Generic Drug Substances)** makes APIs for off-patent medicines. **CMS (Custom Manufacturing Solutions)** is contract manufacturing (a CDMO, contract development and manufacturing organisation) where Neuland makes patented molecules for innovator and biotech clients. CMS is now the bigger, faster-growing half.

Number	Value	What it means
Market value	~₹25,300 cr	What the stock market says the whole company is worth today.
Price-to-earnings (P/E)	~56x	You pay about ₹56 for each ₹1 of yearly profit. Cheaper than the ~69x of our last report because profit grew, but still expensive.
Q1 FY27 total income	₹650 cr	Sales plus other income for Apr-Jun 2026, more than double the ₹301 cr of the same quarter last year.
Q1 FY27 operating margin (EBITDA)	35.5%	EBITDA is operating profit before interest, tax and wear-and-tear. ₹35 of it for every ₹100 of sales, well above the 25% management calls normal.
Q1 FY27 net profit	₹147 cr	Profit after all costs and tax, versus just ₹14 cr a year ago. A ten-fold jump off a weak base.
Return on capital (ROCE)	~27%	For every ₹100 used in the business it earns about ₹27 a year. Very good, though management warned it may dip as heavy spending starts.

2. Concall coverage

Only the newest call was read in full this quarter. The backstory comes from our Q4-2026 report, which read 13 calls.

Quarter	Call date	Read?
Q4 FY23 → Q3 FY26 (12 calls)	May 2023 - Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	12 May 2026	Read in the Q4-2026 report
Q1 FY27	**5 Aug 2026**	**Newly deep-read in full ★**

★ Latest concall highlights - Q1 FY27 (call held 5 Aug 2026)

- **A second big quarter in a row.** Total income ₹650 cr, more than double last year's ₹301 cr, and profit ₹147 cr versus ₹14 cr. Commercial CMS molecules drove most of it. Management said there were no one-offs and no customer stock-building behind it.
- **Guidance, finally said out loud:** the CEO said they aspire to grow about 20% a year and expect FY27 and FY28 to grow that way. Margins: plan on 25%+ EBITDA, anything above is "a bonus" helped by a good exchange rate.
- **Peptide plant:** commissioning "next month" (Sept 2026), a couple of months after the July target. A couple of projects are already lined up to use it before it even opens, the first hard sign of business for this bet.

- **New moves:** two new advanced-clinical-stage projects came in (some are peptides), one more commercial molecule expected this year and one or two next year, a sterile-API tie-up with Gland Pharma (asset-light, for niche generics), and another ~₹203 cr of capex approved, mostly for Unit 1.
- **Tone:** the most confident we've heard. The CEO talked about "bolder" capex, possible overseas sites or M&A, and molecules worth ₹500-1,000 cr a year in the pipeline. Still careful to say quarters will be lumpy.

Business mix & capacity. Commercial CMS now carries most of the revenue, and the CEO said about **3 molecules** drive that business. Neuland is mostly an exporter (US ~40% of revenue per the prior call); no new domestic/export split was given this quarter. Capacity: a question on utilisation of the expanded block was lost to a technical glitch, so no fresh number. Last known: older units at 85-90%, newest block ~65%. Working capital improved from 137 to 84 days, meaning cash gets back into the business faster.

★ Since our last report

Builds on the Q4-2026 report (call 12 May 2026). Prior verdicts: trigger **MAYBE**, consistency **YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Real but lumpy, rests on few molecules; Q4 might be a one-off spike.	Q1 was nearly as strong as Q4, and management says it holds no one-offs. Still about 3 molecules carry it.	Improving
Consistency: YES	Under-promises and delivers.	Same pattern: gave a 20% growth aim and a 25% margin floor, played down their own big quarter.	Confirmed
Peptide plant, July 2026	On schedule, no contracts yet.	Commissioning Sept 2026; projects lined up for it.	On-track (small slip)
Thin development pipeline	Analysts worried it can't replace today's molecules.	Two new late-stage projects; CEO "a lot more" comfortable than a year ago.	Improving
Transcript-editing complaint	Minor governance flag.	CFO addressed it on the call: full audio is published, a minor editing slip.	Closed

Verdict change: trigger **upgraded to YES**, because two big quarters back to back with no one-offs make the CMS ramp look like a run-rate rather than a lucky quarter. Consistency **unchanged at YES**.

★ 3. Earning-trigger thesis

The driver is the same as before: a handful of patented molecules Neuland makes for innovator clients are now in full commercial production, and they're paying off. FY26 sales grew 37% and Q1 FY27 doubled again versus a weak base. Next in line are new molecules turning commercial (one this year, one or two next) and the peptide plant, which already has work queued. The risk hasn't changed: about three molecules carry the business, so a single client cutting orders would hurt.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
CMS commercial molecules	~3 molecules drive growth, healthy for 5-6 years; one more commercial launch this year.	Q4 and Q1 both huge; profit ₹213 cr then ₹147 cr.	Now - 3 yrs	Strong, but concentrated	↑ second big quarter, no one-offs
Peptide plant			FY28+	Moderate	

	Commissioning Sept 2026; projects ready to enter.	No revenue yet, but first projects booked.			↑ from Unproven
Development pipeline	Two new late-stage projects; FY28 onward more molecules turn commercial.	Development revenue still small.	2-5 yrs	Moderate	↑ better than a year ago
Gland Pharma sterile APIs	Asset-light tie-up for niche generic sterile APIs.	Just signed.	2-3 yrs	Unproven	New

4. Management-consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY24	FY25 will be a soft year.	FY25 was soft, sales down ~5%.	Delivered
Q1-Q2 FY25	FY25 modest growth, then cut to flat.	Downgraded mid-year, owned it.	Partly
FY25	Growth resumes in FY26.	FY26 sales +37%.	Delivered
Q4 FY26	Record Q4 margin "not repeatable".	Q1 margin did come down (40% to 35.5%), still high.	Delivered
FY25-FY26	Peptide plant opens ~July 2026.	Commissioning Sept 2026.	Partly (small delay)
Q1 FY27	~20% growth in FY27 and FY28; 25%+ margin.	Too early to judge.	Too-early

Narrative drift: none. The story is still CMS molecules, specialty generics, capacity and peptides. What changed is tone: the CEO is now openly talking about much bigger capex, new sites and possibly buying a company overseas. That's a fair move for a company earning this much, but it's a new kind of risk to watch, since a big overseas bet is a different game from running their own plants in Hyderabad.

5. Bottom line

Durable earning trigger? → YES vs last quarter: upgraded (from MAYBE)

What moved it: Q1 FY27 followed the record Q4 with another huge quarter, and management said plainly there were no one-offs or stock-building in it. The commercial CMS molecules are now producing every quarter with a 5-6 year runway, more molecules are lined up, and the peptide plant has projects queued before opening. The catch is concentration on about three molecules and lumpiness quarter to quarter. Expect some quarters to look weak.

Management consistent? → YES vs last quarter: unchanged

Nothing new knocks it. They kept saying "don't judge one quarter", gave a modest 20% growth aim instead of extrapolating the boom, told investors to plan on 25% margins, and dealt openly with last quarter's transcript complaint. The only slip is the peptide plant running about two months late.

Sources: Neuland Laboratories Q1 FY27 earnings-call transcript (5 Aug 2026) via Screener.in; Q4-2026 concall-tracker report for earlier calls; Screener snapshot tables. Figures are management-reported total income. Not investment advice. Do your own due diligence.